

The time value is the potential for an option to turn profitable before expiry. OTM options have a low probability of turning profitable before expiry. Their time value is lower than that of ITM options.

Time Value
of OTM



Time Value
of ITM

Let us understand this by looking at the Nifty option chain.

Below is a snapshot from when Nifty was trading at 24,004.75. At this point, a Nifty call with a strike price of 21,850 was trading at 2,211.50. Let us calculate the time value of this option. It will be the premium minus the intrinsic value.

CALLS										PUTS									
OI	CHNG IN OI	VOLUME	IV	LTP	CHNG	BID QTY	ASK	ASK QTY	BID	BID QTY	STRIKE	ASK QTY	ASK	CHNG	LTP	IV	VOLUME	CHNG IN OI	OI
2	-	8	42.90	2,211.50	-801.10	225	2,102.30	2,187.85	750	34,575	21,850.00	750	0.70	-1.65	0.65	26.89	2,91,575	4,311	1,23,255

Image Source: <https://www.nsindia.com/option-chain>

Nifty trading at

Strike Price

Last Trading Price

Nifty trading at

Strike Price
below ATM

Last Trading
Price

$$\begin{aligned}\text{Intrinsic value} &= \text{Nifty} - \text{Strike price} \\ &= 24,004.75 - 21,850 \\ &= 2,154.75\end{aligned}$$

$$\begin{aligned}\text{Time value} &= \text{Premium} - \text{Intrinsic value} \\ &= 2,211.50 - 2,154.75 \\ &= 56.75\end{aligned}$$